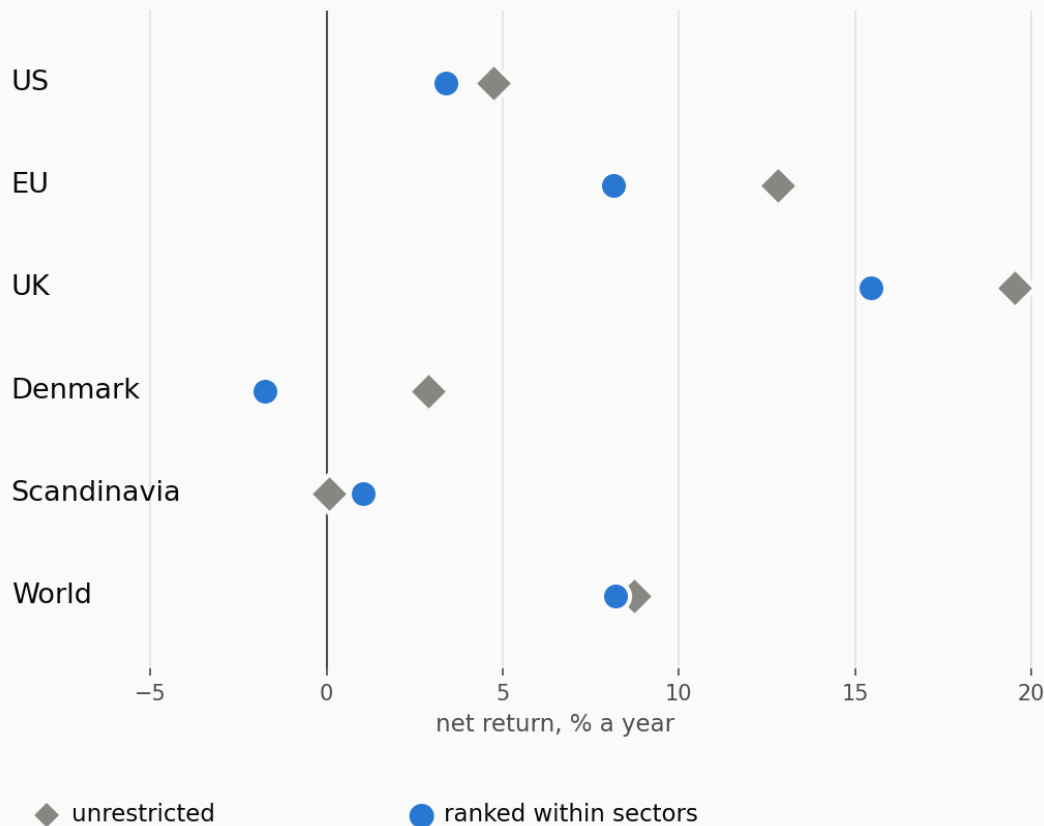


Bug, luck or sector bet?

Low beta + momentum, net return a year, 2013-2026



Two thirds survive inside sectors. The engine is clean.

Henrik Gjernerig · Project 10 · point-in-time universes, local currency (World in USD)

Henrik Gjernerig · LinkedIn

Before you trust a backtest, try to break it. I tried three ways.

1. Is it a bug? I rebuilt every signal from data cut off in 2015, 2019 and 2023: identical values, so no peeking at the future. On random noise the strategies earn nothing, as they should. A deliberate cheat (next month's return as the signal) is caught instantly.

2. Is it a sector bet? Ranked only within sectors, the low beta + momentum pair keeps 5.3% a year (t 3.0) of its 8.0%. About two thirds is stock picking, not sector timing.

3. Is it a few lucky episodes? Here is the surprise. The "market-neutral" low-beta book lost 29% in the US in the COVID crash and 24% in 2022. Low betas drift up and high betas drift down, so a book that is neutral on paper still carries market risk. Momentum did the hedging, and the combined overlay stayed within $\pm 8\%$ in every episode.

Lesson: "beta-neutral" in a backtest usually means neutral on estimated betas. Check the realised beta.

Full factsheet: <https://hgjernerling.github.io/now-showing/factsheets/fs19-robustness>

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